



HS 654: Health Economics

Course Code	HS 654
Course Name	Health Economics
L-T-P-C	4-0-0-4
Prerequisites	HS 202 Principles of Economics or teachers consent
Intended for	UG/PG
Approval	8th Senate (Oct 2015)

Course Contents

- Module I **Overview** [4 Lectures]

Readings

- Arrow, (1963). Uncertainty and the Welfare Economics of Medical Care. American Economic Review, 53(5), 941-973.
- Fuchs, (1996). Economics, Values and Health Care Reform. American Economic Review, 86(1), 1-24.
- Weisbrod, (1991). The Health Care Quadrilemma: An Essay on Technological Change, Insurance, Quality of Care and Cost Containment. Journal of Economic Literature, 29(2), 523-552.
- Mehrotra, A., Adams, D., & Harod, L. (2003). What's Behind the Health Expenditure Trend? Annual Review of Public Health.

Module II **Micro Economic Tools for Health economics** [10 Lectures]

Readings

- Gertler, P., Sebastian, M., Patrick, P., Laura, R., & Christel, V. (2011). Impact Evaluation in Practice. The World Bank, Washington DC.
- Martin, R. (2001). The Mystery of the Vanishing Benefits: An Introduction to Impact Evaluation. The World Bank Economic Review, 15(1), 115-140.
- Kakwani, N. C., Wagstaff, A., & Doorslaer, E. V. (1997). Socioeconomic Inequalities in Health: Measurement, Computation and Statistical Inference. Journal of Econometrics 77(1), 87-104.
- Social Determinants of Health: How Social and Economic Factors Affect Health (2003). County of Los Angeles Public Health.
- Torrance, G. (1986). Measurement of Health Status Utilities for Economic Appraisal: A Review. Journal of Health Economics, 5(1), 1-30.
- Wagstaff, A. (2002). Inequalities in Health in Developing Countries- Swimming against the Tide? The World Bank, Policy Research Working Paper No. 2795.
- Garcia, P. & McCarthy, M. (2005). Measuring Health- A Step in the Development of City Health Profiles, World Health Organisation.
- Ontario Agency for Health Protection and Promotion (Public Health Ontario) (2013). Summary measures of socioeconomic inequalities in health. Toronto, ON: Queens Printer for Ontario.
- Evers, S. (1993). Health for all indicators in health interview surveys. Health Policy, 23, 205-218.

Module III **Demand for health** [4 Lectures]

Readings

- Wagstaff, A. (1986). The Demand for Health: Theory and Applications. Journal of Epidemiology and Community Health, 40(1), 1-11.
- Manning, et al. (1987). Health Insurance and the Demand for Medical Care: Evidence from a Randomized Experiment. American Economic Review, 77(3), 251-277.
- Deaton, A. (2003) Health, Inequality and Economic Development. Journal of Economic Literature, 41(1), 113-158.
- Sarma, S. (2009). Demand for Outpatient Health Care: Empirical Findings from Rural India. Applied Health Economics and Health Policy, 7(4), 265-77.

Module IV **Technological Change and the price of health care** [4 Lecture]

Readings

- Newhouse, (1992). Medical Care Costs: How Much Welfare Loss? *Journal of Economic Perspectives*, 6(3), 3-21.
- Cutler & McClean, (2001). Is Technological Change in Medicine Worth It? *Health Affairs*, 20(5), 11-29.
- Mokyr, (1993). Technological Progress and the Decline of European Mortality. *American Economic Review* 83(2): 324-330.
- Cutler et. Al. (1996). Are Medical Prices Declining? Evidence from Heart attack Treatments. *Quarterly Journal of Economics*, 113, 991-1024.

Module V **Health Insurance, moral hazard and adverse selection** [6 Lectures]

Readings

- Cutler & Zeckhauser, (1999). The Anatomy of Health Insurance. NBER Working Paper No. 7176
- Cochrane, (1995). Time-Consistent Health Insurance. *Journal of Political Economy*, 103(3), 445-473
- Pauly, M.V. (1974). Overinsurance and Public Provision of Insurance: The Roles of Moral Hazard and Adverse Selection. *The Quarterly Journal of Economics*, 88(1): 44-62.
- Cawley & Philipson, (1999). An Empirical Examination of Information Barriers to Trade in Insurance. *American Economic Review*, 89(4), 827-846.
- Bhattacharya, J., Goldman, D., & Sood, N. (2004). Price Regulation in Secondary Insurance Markets. *Journal of Risk and Insurance*, 71(4), 643-675.
- Ahuja, R. (2005). Health Insurance for the Poor in India: An Analytical Study. ICRIER, Working Paper No. 161.
- Ahuja, R., & Jutting J. (2003). Design of Incentives in Community Based Health Insurance Schemes. ICRIER Working Paper No. 95.

Module VI **Health Policies and Reforms** [6 Lectures]

Readings

- Medicare Trustees, (2013). Annual Report of the Board of Trustees of the Federal Hospital Insurance and Federal Supplementary Medical Insurance Trust Fund. Washington DC.
- Or, Z., Cases, C., Lisac, M., Vrangbaek, K., Winblad, U., & Bevan G. (2010). Are health problems systematic? Politics of access and choice under Beveridge and Bismarck systems. *Health Economics, Policy and Law*, 5(3), 269-93.
- Peters D., Yazbeck, A.S., Sharma R., Ramana G.N.V., Pritchett L., Wagstaff, A. (2002).
- Better Health Systems for India's Poor. Findings, Analysis and Options. Washington DC, World Bank.
- Cutler M. D. (1996). Public Policy for Healthcare. NBER Working Paper No. 5591.
- Watts J. J., & Segal, L. (2009). Market Failure, Policy Failure and other Distortions in Chronic Disease Markets. *BMC Health Services Research*, 9:102.
- GiZ (2012). Evaluation of Implementation Process of Rashtriya Swastha Bima Yojana in select districts of Bihar, Uttarakhand and Karnataka.
- Shariff, A. (1995). Health Transition in India. NCAER Working Paper No. 57.

Module VII **Health and Development** [16 Lectures]

I) **Economic epidemiology**

Readings

- Philipson, (1996). Private Vaccination and Public Health: An Empirical Examination for U.S. Measles. *Journal of Human Resources*, 31(3), 611-630.
- Duraisamy, P. (1995). Morbidity, Utilisation of and Expenditure on Medical Services in Tamil nadu. Project Report, Studies on Human Development in India, CDS.
- Gumber, A. & Berman, P. (1995). Measurement and Pattern of Morbidity and Utilisation of Health Services: A Review of Health review Surveys in India. Gujarat Institute of Development Research, Working Paper No. 65.
- Krishnan, T.N. (1993). Access to Health and Burden of Treatment in India: An Inter State Comparison. UNDP Research Project, CDS, Discussion paper No. 2.
- Sen, A.K. (1998). Mortality as an Indicator of Economic Success and Failure. *The Economic Journal*, 1-25.
- Duraisamy, P. (2001). Health Status and Curative Health care in India. NCAER, Working Paper No. 78.
- Donnell, O, Q., Doorslaer, V., Ravi, P., Garg, C., & Somanathan, A. (2005). Explaining the the incidence of catastrophic expenditures on health care: Comparative Evidence from Asia. EQUITAP Project, Working Paper No. 5.

- Garg, C., & Karan, A. (2005). Health and Millennium Development Goal 1: Reducing Out-of-pocket Expenditure to reduce income poverty- Evidence from India. EQUITAP Project, Working Paper No. 15.
- Dror, M. D., Putten, O.V., & Koren, R. (2008). Cost of Illness: Evidence from a Study in Five Resource-Poor Locations in India. Indian Journal of Medical Research, 347-361.
- Mahal, A., Karan, A., & Engelgau, M. (2010). The Economic implications of Non- communicable Disease in India. Washington, DC: World Bank.
- Mondal, S., Kanjilal, B., Peters, H., David, & Lucas, H. (2010). Catastrophic Out-of- Pocket payment for Health care and its Impact on Households: Experience from West Bengal India. Future Health Systems.
- Kumar, R., & Sharma, S.K. (2013). Trends of Communicable and Non- Communicable Morbities in Uttarakhand State: A Systematic Review. Indian Journal of Community and Health, 25(2), 178-187.

II) Health & Obesity

Readings

- Lakdawalla, and Philipson, (2002). The Growth of Obesity and Technological Change: A Theoretical and Empirical Examination. NBER Working Paper No. 8946.
- Bhattacharya, J., & Bundorf, K. (2005). The Incidence of the Health Care Costs of Obesity. NBER Working Paper NO. 11303.
- Lakdawalla, Philipson & Bhattacharya (2005). Welfare-Enhancing Technological Change and the Growth of Obesity. American Economic Review, 95(2), 253-257.

III) Health & ageing

Readings

- Fries, J. (1980). Aging, natural death and the compression of morbidity. New England Journal of Medicine, 303(3), 130-135.
- Emanuel, E.J. (1994). The economics of dying: the illusion of cost savings at the end of life. New England Journal of Medicine, 330(8).
- Alam, M. (2007). Ageing, Socio- Economic Disparities and Health Outcomes: Some Evidence from Rural India. Institute of Economic Growth, Working Paper No. E/290/2008.

Module VIII Cost Benefit analysis of Health care [1 Lecture]

Readings

- Marthe, G., David, S., & Dennis F. (2002). HALYs and QALYs and DALYs, Oh My: Similarities and Differences in Summary Measures of Population and Health. Annual Review of Public Health. 23, 115-34.

Module IX Health infrastructure and financing [6 Lectures]

Readings

1. Selvaraju, V. (2001). Budgetary subsidies to the health sector among selected states in India. Journal of Health management, 3(2), 261-281.
2. Selvaraju V., & Annigeri V. B. (2001). Trends in public spending on health in India. Commission on Macroeconomics and Health, ICRIER, 1-26.
3. Selvaraju V. (2003). Health care expenditure in rural India. NCAER, Working Paper No. 90.
4. Beaglehole, R., & Poz, D. (2003). Public Health Workforce: Challenges and Policy Issues. Human Resources for Health, 1-7.
5. Joe, W., & Mishra, U.S. (2009). Household Out -of -Pocket Health Expenditure in India- Levels, Patterns and Policy Concerns. Centre for Development Studies, Working Paper No. 418.
6. Anand, S., & Barnighausen, T. (2011). Health Workers at the Core of the Health System. Health Policy, doi:10.1016/j.healthpol.2011.10.012.
7. Rao, M., Rao, K.D., Kumar, S.A.K., Chatterjee, M., & Sundaraman, T. (2011). Human Resources for Health in India. Lancet, 377, 587-598.
8. Rao, G.M., & Choudhary, M. (2012). Health care Financing Reforms in India. National Institute of Public Finance and Policy, Working paper No. 2012-100.
9. Hazrika, I. (2013). Health Workforce in India: Assessment of Availability, Production and Distribution. WHO South-East Journal of Public Health, 2(2), 106-112.

10. Behera, M. R. (2014). Human Resources of Health in India. *International Journal of Health sciences and Research*, 4(11), 244-252.

References

1. Jay Bhattacharya, Timothy Hyde & Peter TU (2014), *Health Economics*, Palgrave Macmillan.
2. FollandGoodmand and Stano (2012), *The Economics of Health and Health Care*, Pearson Prentice Hall Press.
3. McDowell I, and Newell C. (1987) *Measuring Health: a guide to rating scales and questionnaires*, Oxford University Press.
4. Glied S. and Smith P.S. (2011), *the Oxford Handbook of Health Economics*, Oxford University Press, Oxford.

Readings

1. Garber, & Skinner, (2008). Is American Health Care Uniquely Inefficient? *Journal of Economic Perspectives* 22(4), 27-50.
2. Laura, R. (2005). A New Approach to Social assistance: Latin Americans Experience with Conditional Cash Transfer Payments. *International Social Security Review* 58(2), 133-161.
3. Kingsley, D. (1956). The Amazing Decline of mortality in Underdeveloped Areas. *American Economic Review*, 46(2), 305-318.
4. Gaynor, H.W., & Vogt, W. (2000). Are Invisible Hands Good Hands? Moral Hazard, Competition and the Second-Best in Health Care Markets. *Journal of Political Economy* 108(5), 992-1005.
5. Crocker, & Moran (2002). *Contracting with Limited Commitment: Evidence from Employment Based Health Insurance Contracts*. Mimeo, University of Michigan Business School.
6. Manning, W. G. (1987). Health Insurance and the Demand for Medical Care: Evidence from a Randomised Experiment. *American Economic Review*, 77(3), 251-277.
7. Gumber A. (2002). Structure of Indian Health Care Market: Implications for Health Insurance Sector. *Regional Health Forum*, Vol.4.
8. Bhattacharya, J. & Vogt, W. (2008). Employment and Adverse Selection in Health Insurance. NBER Working Paper No. 12430.
9. David, C. (2010). How Health Care Reform Must Bend the Cost Curve. *Health Affairs*, 29(6), 1131-35.
10. Douglas H.E., & Michael J. R. (2010). Health Care Reform is Likely to Widen Federal Budgets Deficits, Not Reduce Them, *Health affairs*, 29(6), 1136-41.
11. Propper, C. (2010). The Disutility of Time Spent on the United Kingdoms National Health Service Waiting Lists. *Journal of Human Resources*, 30(4), 677-700.
12. Quarterly NRHM-MIS Report, 2013.
13. NCMH (2005). Report of the National Commission on Macroeconomics and Health, New Delhi, Ministry of Health and Family Welfare, Government of India.
14. Bhattacharya, J. & Sood, N. (2011). Who Pays for Obesity? *Journal of Economic Perspectives*, 25(1), 139-158.
15. Philipson, & Posner, (1995). A Theoretical and Empirical Investigation of the Effects of Public Health Subsidies for STD Testing. *Quarterly Journal of Economics*, 110(2), 445-474.
16. Dow et al. (1995). Disease Complementarities and the Evaluation of Public Health Interventions. NBER Working Paper No. 5216
17. Goldman, Lakdawalla, & Sood (2004). HIV Breakthroughs and Risky Sexual Behaviour. NBER Working Paper No. 10516.
18. Lakdawalla, D., Bhattacharya N., & Goldman, D.P. (2004). Are The Young Becoming More Disabled? *Health Affairs*, 23(1), 168-176.
19. Goldman, D., Cutler D., Shang B, & Joyce G.F. (2006). The Value of Elderly Disease Prevention. *Forum of Health Economics & Policy*, 9(2).
20. Bhattacharya, J., Shang B., Su C.K. & Goldman, D.P. (2005). Technological Advances in Cancer and Future Spending By the Elderly. *Health Affairs*, 24(2), 53-66.
21. Garg, C., & Anup, A.K. (2009). Reducing Out of Pocket Expenditures to Reduce Poverty: A Disaggregate Analysis at Rural Urban and State Level in India. *Health Policy and Planning*, 24, 116-128.
22. Mahal, A. et al. (2001). Who Benefits From Public Health Spending in India? NCAER, New Delhi.